# ENT PAPER 1 PRACTICE ITEMS 2026

**Item1:**

Okello is a Senior 6 leaver in Gulu City who recently inherited a small piece of land near a newly constructed busy highway and a large public market. He noticed that many travelers and market vendors struggle to find affordable, healthy refreshments and a place to charge their mobile phones. Okello has UGX 500,000 in savings and is considering starting a "Solar-Powered Refreshment and Charging Hub." However, he is worried about the high competition from established shops and the unpredictable weather affecting his solar equipment.

**Task:**

**a).** Explain ways Okello used his **observation skills** to identify a business opportunity in his community.

**b).** From the scenario provided, identify 3 **strengths** and 3 **threats** that Okello faces in his proposed venture.

**c).** Suggest four ways Okello can add **value** to his refreshments to gain a competitive advantage over the existing established shops.

**d).** As a student of Entrepreneurship, advise Okello on four **social responsibilities** he should fulfill toward the local community in Gulu.

**e).** Describe four **calculated risks** Okello is taking by launching this specific business model.

**Item 2:**

**The Scenario: "Aponye's Fruit Processing Venture"**

Aponye, a Senior 6 leaver in **Yumbe District**, noticed that during the mango season, large quantities of fruit rot in the orchards due to a lack of market. After attending a community workshop on value addition, she decides to start a small-scale business called **"Nile Zest Juice,"** producing organic mango juice and dried fruit snacks.

She has secured a small space at the local trading centre. However, Aponye is worried about the **tax obligations** involved. She recently heard from a local leader that all businesses must contribute to national development through taxes like **Value Added Tax (VAT)** and **Presumptive Tax**, but she does not know how these will affect her small startup capital of UGX 1,500,000. Additionally, she is unsure whether to register as a sole trader or a partnership to manage her tax burden better.

**Task:**

As a student of Entrepreneurship, write a **business advisory report** to Aponye in which you:

a) **Analyze the business opportunity** Aponye has identified, explaining four factors that make it a viable idea in Yumbe.

b) **Evaluate the impact of the "Entrepreneurial Environment"** by identifying three **Internal** and three **External** factors that could affect "Nile Zest Juice."

c) **Advise on Tax Compliance** by explaining the importance of obtaining a **Taxpayer Identification Number (TIN)** from the **Uganda Revenue Authority (URA)**.

d) **Distinguish between VAT and Presumptive Tax**, showing Aponye which one is more likely to apply to her small-scale startup.

e) **Suggest four tax-planning strategies** Aponye can use to remain compliant while maximizing her small capital.

**Item 3:**

**The Scenario: "Nabirye's Mobile Tailoring & Fashion Hub"**

Nabirye, a Senior 6 leaver in **Iganga District**, recently completed a vocational course in fashion design. She noticed that many working professionals in her town find it difficult to visit tailoring shops during working hours. To solve this, Nabirye intends to launch **"Smart Stitch,"** a mobile tailoring service where she visits clients at their workplaces or homes to take measurements and deliver finished garments.

She has a startup capital of **UGX 2,500,000** and plans to use a motorcycle for her movements. However, a local council official recently informed her that since she will be operating a commercial business, she must register with the **Uganda Revenue Authority (URA)** and pay **Presumptive Tax** based on her annual turnover. Nabirye is confused about why she should pay taxes when her business is still "on wheels" and small-scale. She is also worried that taxes might "eat up" her small capital.

**The Task:**

As an Entrepreneurship student, write a **Business Advisory Letter** to Nabirye in which you:

a) Explain three **creative** elements Nabirye has introduced to make her tailoring service different from traditional shops in Iganga.

b) Identify **market indicators** from the scenario that suggest Nabirye's "Smart Stitch" will be successful.

c) Justify to Nabirye why it is necessary for her to obtain a **Taxpayer Identification Number (TIN)** even though she runs a mobile business.

d) **Assess Tax Impact:** Describe how **Presumptive Tax** is calculated for small businesses in Uganda and how it differs from **Value Added Tax (VAT)**.

e) **Propose Tax Management:** Suggest two **legal tax-planning** strategies Nabirye can use to ensure she remains compliant without collapsing her business.

**Item 4:**

**The Scenario: "Kato's Organic Honey Venture"**

Kato, a resident of **Nakaseke District**, noticed that many local farmers in his village produce high-quality raw honey but sell it at very low prices to middlemen because they lack processing and packaging equipment. Kato has decided to start **"Nakaseke Gold Honey,"** a business that will buy raw honey from these farmers, refine it, and package it into branded glass jars for sale to supermarkets in Kampala and Entebbe.

Kato has a budget of **UGX 4,000,000** for equipment and initial stock. During a recent business seminar, he was told that since he will be selling to formal supermarkets, he must register for **Value Added Tax (VAT)** and will be required to file returns using the **URA E-Tax portal**. Kato is worried because he does not own a computer and is unsure if his small business can handle the 18% VAT rate without losing customers.

**The Task:**

As an Entrepreneurship consultant, prepare a **Business Advisory Report** for Kato in which you:

a) Explain four factors that make Kato's honey business a "viable opportunity" rather than just a "good idea."

b) Suggest two ways Kato can use **innovative packaging** or **branding** to justify a higher price for his honey in urban supermarkets.

c) Describe the steps Kato should take to register for a **Taxpayer Identification Number (TIN)** and explain the benefit of using the **E-Tax system** for a rural-based entrepreneur.

d) Explain to Kato how **Value Added Tax (VAT)** works as an "indirect tax" and why the final consumer, rather than his business, ultimately bears the tax burden.

e) Suggest two ways Kato can manage his **tax records** effectively to ensure he accurately calculates his **input tax** and **output tax**.

## ENT PAPER 2 PRACTICE ITEMS 2026

**Item 1: The School Business Club**

The **"Unity Bakers" School Business Club** produces high-quality doughnuts for the student community. Despite high demand, the club is facing a crisis: students often complain that the doughnuts are sometimes burnt or arrive late for break time. Furthermore, the club members (students) are frequently skipping their production shifts, claiming the work is too tiring and disorganized.

The Club President has drafted a **Business Plan** to buy a modern electric oven to replace the charcoal stoves, but the School Patron is hesitant to approve it until the club improves its internal management.

**Task:**

As the Club's Production Manager, prepare a report for the School Patron addressing the following:

a) Identify the quality control measures the club should implement to ensure the doughnuts are consistent in taste and timing.

b) Suggest the strategies to motivate club members and ensure they attend their shifts regularly without feeling overwhelmed.

c) Explain how the proposed purchase of an electric oven will impact the **Operational Plan** and the **Financial Plan** sections of the club's existing Business Plan.

**Item 2: The Field Trip**

During a field trip to **"Victoria Fruit Processors Ltd,"** Senior 6 students observed that the factory has three distinct departments: Cleaning, Pulping, and Packaging. The General Manager explained that while they have the best machines, their biggest challenge is **"Labor Turnover"** (workers quitting frequently) and **"Wastage"** of raw mangoes during the peak season.

The students noted that the factory layout was cramped, making it difficult for workers to move finished juice boxes to the loading bay efficiently. The manager mentioned they are currently revising their **Business Plan** to attract new investors.

**Task:**

Based on your observations during a field trip:

a) Propose a **Plant Layout** strategy (e.g., Process vs. Product layout) that would reduce the movement of materials and minimize the wastage mentioned by the manager.

b) Recommend the steps the company should include in its **Recruitment and Selection** process to ensure they hire committed workers and reduce labor turnover.

c) Describe how the **Marketing Plan** and **Production Plan** are interdependent in the business plan of a seasonal business like Victoria Fruit Processors Ltd.

**Item 3: The School Business Club**

The **"Sparkle Clean" School Business Club**, which produces liquid soap, has dominated the school market for a year. However, a local supermarket has started selling a branded detergent at a lower price. To survive, the club's **Business Plan** proposes "Value Addition"—adding herbal extracts (Aloe Vera) to their soap to market it as a "Skin-Care" product.
The club needs to raise **UGX 200,000** for new packaging and herbal ingredients. The club's current financial snapshot shows:

- **Cash at Hand:** UGX 50,000
- **Stock of Old Soap:** UGX 150,000
- **Owed to Chemicals Supplier:** UGX 80,000

**The Task:**

a) Calculate the **Acid Test (Quick) Ratio** for the club.

b) Explain if the club can afford the new ingredients immediately.

c) Suggest **three** promotional strategies the club should include in its **Marketing Plan** to convince students to switch from the cheap supermarket detergent to their new herbal soap.

d) Identify two **health and safety risks** associated with handling chemicals in a school environment and how the club should manage them.

**Item 4: The Field Trip**

Your class visited **"Nile Heights Hotel & Resort"** in Jinja. The Manager explained that their **Human Resource Management** focuses on "Service Excellence." You observed that while the front desk staff were very professional, the kitchen staff seemed frustrated because of a broken industrial dishwasher, forcing them to wash plates by hand during a busy lunch hour.
The Manager revealed that their **Net Profit Margin** dropped from **25% to 10%** this year due to high electricity costs and food wastage in the buffet section.

**The Task:**

a) Discuss the concept of **"Job Satisfaction"** based on your observation of the kitchen staff. How does the broken equipment affect the hotel's overall service quality?

b) Suggest **two** ways the hotel can use its **Financial Plan** to address the "high electricity costs" (e.g., investing in solar or energy-saving bulbs).

c) Propose a **Waste Management Strategy** for the buffet section to help the hotel recover its profit margin.

d) During the trip, you noticed the hotel dumps some plastic waste near the riverbank. Draft a short **Corporate Social Responsibility (CSR)** policy for the hotel to include in its revised Business Plan.

### Item 5: Field Trip

"Kigezi High-Grade Tea Packers," a local business in Kabale, is preparing its business plan for the next financial year to seek expansion capital. The proprietor, Mr. Twinomujuni, has provided the following summarized financial information for the year ended 31st December 2025:

- **Sales:** Shs 150,000,000
- **Cost of Sales:** Shs 100,000,000
- **Net Profit:** Shs 15,000,000
- **Current Assets:** Shs 20,000,000 (Inventory: Shs 15,000,000; Cash: Shs 5,000,000)
- **Current Liabilities:** Shs 25,000,000
- **Total Equity:** Shs 80,000,000

Despite increased sales, Mr. Twinomujuni is facing difficulties paying suppliers on time and fears his business may not survive if they expand without addressing current financial issues.

**Tasks:**

**a) Calculate** the following ratios for Kigezi High-Grade Tea Packers:

i) Current Ratio

ii) Acid Test (Quick) Ratio

iii) Net Profit Margin

b) **Interpret** the findings, focusing on the company's liquidity position.

c) **Propose** three financial strategies Mr. Twinomujuni should include in his business plan to improve the company's performance.

**Item 6: Field Trip**

Bright Harvest Ltd is a medium-sized agribusiness in Mbarara that processes milk into yogurt. For the last two years, the Managing Director, Mr. Kato, has noticed that while the factory is always busy and making high sales, the company often struggles to pay its milk suppliers on time and lacks enough cash to buy a new refrigerated delivery truck.

Below is a summary of the financial position for the year ended December 2025:

| **Item** | **Amount (UGX)** |
|---|---|
| Sales Revenue | 500,000,000 |
| Cost of Sales | 350,000,000 |
| Net Profit | 45,000,000 |
| Current Assets (Inventory, Cash, Receivables) | 120,000,000 |
| Current Liabilities (Trade Payables, Short-term loans) | 100,000,000 |
| Total Assets | 600,000,000 |

Mr. Kato wants to apply for a **UGX 150,000,000 loan** from a commercial bank to expand his distribution route. However, his accountant suggests that before borrowing, they must analyze the business's "health" using financial ratios to include in their updated **Business Plan**.

**Task:**

As a business consultant, help Mr. Kato evaluate his situation:

a) **Analyze** the current financial performance of Bright Harvest Ltd by calculating the **Gross Profit Margin** and the **Current Ratio**.

b) **Interpret** what these two ratios reveal about the company's ability to manage its daily operations and its readiness to take on a new loan.

c) **Advise** Mr. Kato on two strategies he should include in his business plan to improve his cash flow without necessarily relying on a bank loan.

**Item 7: The School Business Club Project**

The **"Greener Pastures" School Business Club** at City High school has been running a stationery and snack kiosk for the past two terms. The club members want to expand their business by adding a photocopy service. To do this, they need to present a **Financial Plan** to the School Administration to request a seed-capital loan.

The Club Finance Manager has extracted the following data from the club's books for the last term:

| **Item** | **Amount (UGX)** |
|---|---|
| Total Sales Revenue | 1,200,000 |
| Cost of Sales | 800,000 |
| Operating Expenses (Rent, electricity) | 150,000 |
| Inventory (Stock) | 300,000 |
| Cash in Hand | 50,000 |
| Trade Payables (Amount owed to suppliers) | 200,000 |

**Task**

**a)** **Calculate** the following ratios for the club's business:

i. **Gross Profit Margin**

ii. **Current Ratio**

**b)** **Explain** why the School Administration might be concerned about the club's **Current Ratio** before approving the new loan for the photocopier.

**c)** **Propose** two ways the club can improve its **Net Profit Margin** in the next term without increasing the prices of stationery.

**Item 8: The Field Trip Experience**

During the Senior 6 Entrepreneurship **Field Trip**, Mityana SS senior 6 Ent class visited **"Mityana Agro workers Ltd,"** a successful maize processing plant. During the interaction, the proprietor, Ms. Nakato, shared that she regularly uses financial ratios to monitor her business health. She provided the following summary of her performance compared to the previous year:

| **Financial Metric** | **Year 2024** | **Year 2025** |
|---|---|---|
| Net Profit Margin | 15% | 8% |
| Stock Turnover Ratio | 12 times | 6 times |
| Debt-to-Equity Ratio | 0.5:1 | 1.8:1 |

**Task**

Using the information gathered from the field trip:

a) **Interpret** the trend in the **Stock Turnover Ratio**. What does this change suggest about the business's sales performance or inventory management in 2025?

b) **Evaluate** the risk level of Mityana Agro workers Ltd by analyzing the change in the **Debt-to-Equity Ratio**.

c) Based on your experience of the plant layout and operations during one of the trips you carried out, **suggest** three practical measures Ms. Nakato should include in her **Operational Plan** to reverse the declining profit margin.

**Item 9: School Business Club**

The **"Starlight Crafts" School Business Club** produces handmade recycled paper notebooks for the school community. Recently, the club received a large order from the Old Students' Association for an upcoming reunion. However, the production team is struggling to maintain a consistent "smooth" finish on the paper, and the marketing team has noticed that many students still prefer buying imported notebooks from the school canteen because they look "more professional."

**Task:**

As the Club's Director of Operations, prepare a strategy addressing the following:

a. Identify factors that might be causing the "inconsistent finish" in your paper production process.

b. Suggest quality control measures to ensure every notebook meets a specific standard before it is bound.

c. Using the **"Four Ps" of Marketing**, explain how the club can reposition its notebooks to compete effectively with the imported ones in the canteen.

d. Design a simple **Sales Promotion** message (slogan or advert) that highlights the unique "Value Addition" of using recycled materials.

**Item 10: Field Trip Experience**

During a field trip to **"Kampala Modern Bottlers Ltd,"** a local fruit juice processing plant, students observed the entire value chain—from receiving raw passion fruits to the final branded bottles. The Production Manager highlighted that they recently switched from a "Job Production" method (small custom batches) to "Batch Production" to meet growing demand. However, the Marketing Manager mentioned that while production is high, they are struggling to penetrate the "Upcountry" (rural) markets due to high distribution costs and low brand awareness.

**Task:**

Based on your observations and the managers' briefings during field trips:

a. Explain **two** advantages and **one** disadvantage of the company's shift from "Job Production" to "Batch Production."

b. Identify **three** types of production costs the company incurs that could be classified as "Fixed Costs."

c. Describe an appropriate **Channel of Distribution** the company should use to reach rural customers in Uganda without incurring excessive transport costs.

d. Suggest **two** creative "Below-the-Line" marketing techniques (e.g., *direct methods like samples or local events)* the juice plant can use to build brand loyalty in new regions.

**Item 11**:

You are a Senior Six leaver managing 'Muko-Fresh Yogurt Producers' in Mbarara, specialized in natural yogurt. Currently, you produce 500 liters weekly, selling at UGX 6,000 per liter. Your weekly operational costs are: Milk (UGX 1,500,000), Sugar (UGX 200,000), Flavoring/Packaging

(UGX 300,000), and casual labor (UGX 100,000). You wish to expand production to 1000 liters weekly but require funding.

**Tasks:**

I. Outline the steps you will take to increase production to 1000 liters while maintaining quality control.

II. Calculate the following for your current 500-liter weekly production:

a. Total Variable Cost (TVC)

b. Gross Profit

c. Gross Profit Margin

d. Net Profit (Assuming fixed costs of UGX 100,000)

III. Prepare a short, structured business plan (aimed at a bank) justification, focusing on the Marketing Strategy, Human Resource needs, and required Production Machinery.

**Item 12: Field Study**

During a field study trip to **Namanve Industrial Park**, Senior 6 students visited *Quality Plastics Ltd*. The students observed that the factory uses an **automated continuous production system** to manufacture jerrycans. They noticed a well-structured **layout** where raw materials (HDPE granules) move through extruders, blow-molding machines, and finally to the branding section. However, the plant manager mentioned that they often face **bottlenecks** when electricity fluctuates, leading to high levels of **wastage** and delayed deliveries to wholesalers.

**Task:**
Based on the observations made during the field trip, prepare a **Production Management Report** for the factory manager. Your report should:

a) Identify the **type of production system** used and justify it with two reasons.

b) Suggest the strategies the factory can implement to minimize **production wastage**.

c) Design a **Production Schedule** for a single day to help the manager track output and meet delivery deadlines.

**Item 13: School Business Club Project**

The **"St. Mary's Investors Club"** recently concluded a six-month project of poultry farming (broilers) within the school farm. At the end of the project, the club treasurer presented the following financial summary:

- **Total Revenue (Sales):** Shs 5,000,000

- **Cost of Goods Sold (Chicks, Feed, Meds):** Shs 3,200,000
- **Operating Expenses (Labor, Utilities):** Shs 800,000
- **Closing Stock:** Shs 400,000
- **Total Current Assets:** Shs 1,200,000
- **Total Current Liabilities:** Shs 1,500,000

The club members are happy with the sales but are confused as to why they don't have enough cash in the bank to start the next cycle immediately.

**Task:**
As the Club Chairperson, perform a **Financial Performance Evaluation** to present at the next club meeting. Your evaluation must:

a) Calculate the **Net Profit Margin** and explain what it reveals about the club's expense management.

b) Compute the **Acid Test (Quick) Ratio** and use it to explain why the club is struggling to pay its current debts.

c) Recommend two **business planning adjustments** the club should include in their next project proposal to ensure better **liquidity**.

**Item 14: Field Study Trip**

During a field study trip to **Kalerwe Market**, Senior 6 students visited several fruit-processing enterprises. They observed a small-scale juice production unit, *Nature's Sip*, which produces organic mango and pineapple juice. The students noted that while *Nature's Sip* uses high-quality ingredients and eco-friendly packaging, it faces stiff competition from established brands like *Minute Maid* and cheaper, unbranded local juices sold in plastic bags. The entrepreneur mentioned that their biggest challenge is reaching customers outside the immediate neighborhood and convincing them to pay a premium price for "organic" quality.

**Task:**
Using the observations from your field trip to *Nature's Sip*, develop a **Market Positioning and Competition Strategy**. Your response should:

a) Identify the **Target Market Segment** for *Nature's Sip* and justify your choice using two demographic or psychographic characteristics.

b) Suggest three **Promotional Techniques** the entrepreneur could use to create brand awareness and distinguish their product from cheaper competitors.

c) Analyze the business's **Competitive Advantage** by identifying one unique strength and explaining how it can be used to outsmart established brands.

### Item 15: School Business Club Project

The **"Pride High School Business Club"** launched a "Customized School Stationery" project, selling notebooks and folders branded with the school logo. Initially, sales were high because students wanted the branded items. However, after three months, a local stationery shop near the school began selling similar branded notebooks at a lower price. The club's sales have dropped by 40%. The club members need to find a way to win back their customers and manage this new competitive threat.

**Task:**
As the Marketing Manager of your School Business Club, prepare a **Marketing Response Plan** to address the declining sales. Your plan must:

a) Perform a **Competitor Analysis** by comparing the club's product and the local shop's product across two elements of the **Marketing Mix (4Ps)**.

b) Propose some **Customer Care Strategies** that the club can implement to build long-term loyalty and prevent students from switching to the competitor.

c) Design a simple **Advertising Message** (slogan or poster text) that emphasizes the club's "Unique Selling Proposition" (USP) to attract students back.